

What the home **absorbs** before you notice

Three costs that never appear on a bank statement.

CAPITAL AND CASHFLOW

Capital that stops

- ▶ Deposit, stamp duty, and the renovation that returned sixty cents.
- ▶ Stamp duty vanishes on settlement and appears nowhere in the asset.
- ▶ Almost nobody writes that number down anywhere.

CAPITAL AND CASHFLOW

Cashflow that never compounds

- ▶ The gap between the home you have and the one you were considering.
- ▶ It leaves after tax and buys no income at all.
- ▶ That money is not coming back to you later.

WHAT COSTS A PORTFOLIO

Borrowing capacity

- ▶ Owner-occupier debt is serviced entirely out of your salary.
- ▶ Investment debt is part-serviced by a tenant instead.
- ▶ Lenders price that difference even when buyers do not.

WHAT COSTS A PORTFOLIO

What it actually costs

- ▶ A smaller portfolio available to you for the following decade.
- ▶ At the age when a longer runway does the most work.
- ▶ Capital can be rebuilt. Capacity is the scarcer of the two.

The house is rarely the mistake

The unmeasured absorption is. Name it as a lifestyle decision, price it honestly, and make it on purpose.